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Project Management 7.10

Project Termination

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Learning Outcomes

- By the end of this week, you will be able to:
  - Give good practice closure examples
  - Know how to avoid bad practice
  - Understand stakeholder communication is key

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Project Termination

- All activities consistent with closing out the project
- Extinction
- Addition
- Integration
- Starvation

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Early Warning Signs of Project Failure

- Lack of viable **commercial objectives**
- Lack of sufficient **authority** to make decisions
- New product developed for **stable market**
- **Low priority** assigned to the project by management

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Early Termination Decision Rules

- Costs exceed business benefits
- Failure to meet strategic fit criteria
- Deadlines continue to be missed
- Technology evolves beyond the project’s scope

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The Top 10 Signs of IT Project Failure

10. Best practices and lessons learned are ignored
9. Project lacks people with appropriate skills
8. Sponsorship is lost
7. Users are resistant
6. Deadlines are unrealistic
5. Business needs change
4. Chosen technology changes
3. Project changes are poorly managed
2. Scope is ill-defined
1. Project managers don’t understand users’ needs.

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A study in project failure (2008)

Number of IS projects examined within European Union

Rank	Sector	No. of projects examined
1	Manufacturing	43
2	Retail	36
3	Financial services	33
4	Transport	27
5	Health	18
6	Education	17
7	Defence	13
8	Construction	12
9	Logistics	9
10	Agriculture	6
Total		**214**

Project value in millions of Euros

Value range in millions (€)	Number of projects	Percentage (%)	Accumulative (%)
0 – 1	51	23.831	23.831
1 – 2	20	9.346	33.177
2 - 3	11	5.140	38.317
3 - 5	33	15.421	53.738
5 - 10	4	1.869	55.607
10 - 20	87	40.654	96.261
20 - 50	6	2.804	99.065
50 - 80	2	0.935	100.000
Totals	**214**	**100.00**	**100.00**

Project completions, cancellations and overruns

Waterfall method lifecycle stage	Number of projects cancelled	Number of projects completed	Number of projects overrun (schedule and/or cost)
Feasibility	None	214	None
Requirements analysis	3	211	None
Design	28	183	32
Code	15	168	57
Testing	4	164	57
Implementation	1	163	69
Handover	None	163	69
Percentages	**23.8%**	**76.2%**	

Dr John McManus and Dr Trevor Wood-Harper http://www.bcs.org/content/ConWebDoc/19584

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Is all project failure a bad thing?

- Galileo was amazing
- BUT
- In the following ten years, project teams had 16 project cycles to learn from
- All projects can be learning experiences
- Restraining projects can be best to foster creativity and save resources

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Studies in Project Success

- Condor Cluster
  - Database with 500 Teraflops of data
  - Processes a trillion floating point operations per second
  - At time deployed, the 33rd fastest computer in the world
  - 1/10th the cost of other supercomputers
  - 10% of the usual energy usage
  - Constructed of 1,760 Sony Playstations (true!)

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Studies in Project Success – Large projects?

- Large projects are more likely to overrun on time and money
- More likely to say if we had more time and money, we could fix the problems
- Large projects tend to be more complex, and more risk prone
- Spend a great deal of time refining the process
- More likely to require more resources
- Large teams lead to less individual “self-control” – more of a herd mentality
- Has almost no chance of coming in on time, on budget and within scope
- 2x higher chance of being late or 10x higher chance to fail outright (Standish Group, 2013)

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Truisms Ain’t it the truth?

- The future will be surprising – plan accordingly
- Excellence and expensiveness do not always go together
- The best way to unleash talent is to not have too much of it
- You can’t change just one thing – there are interconnections, always
- Constraints foster creativity
- Focus fosters speed
- Speed validates the need
- Faster, better, cheaper – pick two
- Take your time, do it right
- A kick-ass half is better than a half-asked whole (Reword, Jason Fried)
- To finish, start early
- You cannot design anything without revealing your values (Dr. Joel Sercel)

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PARKINSONS' LAW

Project leaders may not interfere with the natural progression of a project by introducing unnecessarily advanced technologies, or excessive, over-engineered features (Technology Readiness Level 6 – NASA)

PROJECT MANAGEMENT PRIME DIRECTIVE

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THAT'S A WRAP!

Go out there, and do project management well.